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UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF CALIFORNIA

STEPHEN VARELA, Plaintiff, vs. ACCURATE BACKGROUND, INC, Defendant,	Case No.: 5:26-cv-00258 **COMPLAINT** for violations of the Fair Credit Reporting Act, 15 U.S.C. § 1681 *et seq* and the Consumer Credit Reporting Agencies Act, Cal. Civ. Code § 1785 *et seq.* **DEMAND FOR JURY TRIAL**

NOW COMES, Plaintiff STEPHEN VARELA ("Plaintiff") by and through his attorneys, FCRA ATTORNEYS, and files this *Complaint* against Defendant ACCURATE BACKGROUND, INC ("Accurate") or ("Defendant") and respectfully sets forth, complains, and alleges, upon information and belief, the following:

PRELIMINARY STATEMENT

1. Plaintiff brings this action under 15 U.S.C. § 1681 *et seq.* the Fair Credit Reporting Act ("FCRA") and Cal. Civ. Code § 1785 *et seq.* the Consumer Credit Reporting Agencies Act ("CCRAA") for actual and statutory damages, punitive damages, costs, and reasonable attorneys' fees against Defendant.

JURISDICTION AND VENUE

2. This Court has jurisdiction over Plaintiff's claims pursuant to 28 U.S.C. § 1331, 1334, and 15 U.S.C. § 1681(p), which allows claims under the FCRA to be brought in any appropriate court of competent jurisdiction. This Court also has supplemental jurisdiction over state claims under 28 U.S.C. § 1367 because those claims arose from the same transaction or occurrence as the federal claims.

3. Venue is proper in this judicial district pursuant to 28 U.S.C. § 1391b(1), 28 U.S.C. § 1391b(2), and 28 U.S.C. § 1391b(3) being that the Plaintiff resides in this district, a substantial part of the events giving rise to the claims occurred within this district, and Defendant regularly conducts business in this District.

PARTIES AND SERVICE

Plaintiff Stephen Varela.

4. Plaintiff is a resident of Riverside County, California.

5. At all times material hereto, Plaintiff is a "Consumer," as defined under 15 U.S.C. § 1681a(c), and Cal. Civ. Code § 1785.3(b).

Defendant ACCURATE BACKGROUND, INC

6. Defendant Accurate is a "Consumer Reporting Agency" as defined by the FCRA 15 U.S.C. § 1681a(f). Defendant Accurate conducts substantial and regular business activities in this district. Defendant Accurate may be served with process upon DAVID C DICKERSON, its registered agent for service of process, at 7515 IRVINE CTR DR. IRVINE, CA 92618.

7. At all times material hereto, Defendant Accurate is a Consumer Reporting Agency who regularly engages in interstate commerce by and through the business of assembling, evaluating,

and disbursing information concerning consumers for the purposes of furnishing consumer reports to third parties as said term is defined under the FCRA 15 U.S.C. § 1681d and Cal. Civ. Code § 1785.3(c).

8. Among other things, Defendant Accurate sells consumer background checks to employers. These reports are provided in connection with a business transaction initiated by the hiring company.

FACTUAL ALLEGATIONS

9. Defendant Accurate Background, Inc ("Accurate") is a consumer reporting agency that provides background checks to employers, including Jeronimo Logistics ("Jeronimo"). Accurate prepared a background check report on Plaintiff, Stephen Varela, for the purpose of assessing his suitability for employment with Jeronimo.

10. Plaintiff applied for a position at Jeronimo Logistics company in September 2025.

11. On or about September 4, 2025, Accurate issued a background check report on Plaintiff, which was later provided to Jeronimo. The report contained inaccuracies, including a criminal conviction that was over seven years old.

12. Specifically, the report listed a felony for which Plaintiff was released from prison in 2017, which is older than seven years. This is prohibited from being reported under California law, which restricts the reporting of criminal convictions older than seven years for jobs that pay less than $125,000 per year (California Civil Code Section 1786.18). Plaintiff's background check was for a position with Jeronimo, which does not meet this salary threshold.

13. Plaintiff was not hired by Jeronimo because of the incorrect background check report.

14. As a result of this refusal to hire him, Plaintiff remained unemployed for three months before finally finding another position that matched his skills and career goals.

15. This denial caused emotional distress, reputational harm, and financial damages. Plaintiff has been forced to seek other employment opportunities, but he has encountered challenges due to the erroneous information reported on his background check. The emotional toll from this situation, combined with the lost income, has caused Plaintiff significant distress.

FIRST CAUSE OF ACTION
Violations of the Fair Credit Reporting Act
Negligent violation of 15 U.S.C. § 1681e(b)

16. Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

17. This is an action for negligent violation of the FCRA 15 U.S.C. § 1681 *et. seq*.

18. Defendant Accurate violated 15 U.S.C. § 1681e(b) by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consumer background check report that Defendant Accurate maintained concerning Plaintiff.

19. Defendant Accurate has negligently failed to comply with the FCRA. The failure of Accurate to comply with the FCRA includes but is not necessarily limited to the following:

a) The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b) The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of information had advised Accurate to delete; and

c) The failure to take adequate steps to verify information that Accurate had reason to believe was inaccurate before including it in the background check report of the Plaintiff.

20. As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered

damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental and emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

21. The conduct, action, and inaction of Defendant Accurate was negligent, entitling Plaintiff to damages under 15 U.S.C. § 1681(o).

22. Plaintiff is entitled to recover reasonable costs and attorney's fees from Accurate in an amount to be determined by the Court pursuant to 15 U.S.C. § 168l(o).

SECOND CAUSE OF ACTION
Violations of the Fair Credit Reporting Act
Willful violation of 15 U.S.C. § 1681e(b)

23. Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

24. This is an action for willful violation of the FCRA 15 U.S.C. § 1681 et. seq.

25. Defendant Accurate violated 15 U.S.C. § 1681e(b) by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consumer background check report that Defendant Accurate maintained concerning Plaintiff.

26. Defendant Accurate has willfully failed to comply with the FCRA. The failures of Accurate to comply with the FCRA include but are not necessarily limited to the following:

a) The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b) The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of the information had advised Accurate to delete; and

c) The failure to take adequate steps to verify information that Accurate had

reason to believe was inaccurate before including it in the background check report of the consumer.

27. As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental and emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

28. The conduct, action, and inaction of Defendant Accurate was willful, entitling Plaintiff to damages under 15 U.S.C. § 1681(n).

29. Plaintiff is entitled to recover reasonable costs and attorney's fees in an amount to be determined by the Court pursuant to 15 U.S.C. § 168l(n).

THIRD CAUSE OF ACTION
Violations of Consumer Credit Reporting Agencies Act
Negligent violation of Cal. Civ. Code § 1785.14

30. Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

31. This is an action for negligent violation of the CCRAA Cal. Civ. Code § 1785 et. seq.

32. Defendant Accurate violated Cal. Civ. Code § 1785.14 by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consumer background check report that Defendant Accurate maintained concerning Plaintiff.

33. Defendant Accurate has negligently failed to comply with the CCRAA. The failure of Accurate to comply with the CCRAA includes but is not necessarily limited to the following:

a. The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b. The failure to delete information promptly that was found to be inaccurate,

or could not be verified, or that the source of information had advised Accurate to delete; and

c. The failure to take adequate steps to verify information Accurate had reason to believe was inaccurate before including it in the credit report of the consumer.

34. As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental and emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

35. The conduct, action, and inaction of Defendant Accurate was negligent, entitling Plaintiff to damages under Cal. Civ. Code § 1785.31(a)(1).

36. Plaintiff is entitled to recover reasonable costs and attorney's fees from Accurate in an amount to be determined by the Court pursuant to Cal. Civ. Code § 1785.31(a)(1).

FOURTH CAUSE OF ACTION
Violations of the Fair Credit Reporting Act
Willful violation of Cal. Civ. Code § 1785.14

37. Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

38. This is an action for willful violation of the CCRAA Cal. Civ. Code § 1785 et. seq.

39. Defendant Accurate violated Cal. Civ. Code § 1785.14 by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consumer background check report that Defendant Accurate maintained concerning Plaintiff.

40. Defendant Accurate has willfully failed to comply with the CCRAA. The failures of Accurate to comply with the CCRAA include but are not necessarily limited to the following:

a. The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b. The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of information had advised Accurate to delete; and

c. The failure to take adequate steps to verify information Accurate had reason to believe was inaccurate before including it in the credit report of the consumer.

41. As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental and emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

42. The conduct, action, and inaction of Defendant Accurate was willful, entitling Plaintiff to damages under Cal. Civ. Code § 1785.31(a)(2).

43. Plaintiff is entitled to recover reasonable costs and attorney's fees from Accurate in an amount to be determined by the Court pursuant to Cal. Civ. Code § 1785.31(a)(2).

DEMAND FOR TRIAL BY JURY

44. Plaintiff requests a trial by jury on all issues and counts so triable, pursuant to Rule 38 of the Federal Rules of Civil Procedure.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff seeks judgment against Defendant as follows:

1. Awarding Plaintiff actual damages provided and pursuant to 15 U.S.C. § 1681o(a), and Cal. Civ. Code § 1785.31(a) from Defendant;
2. Awarding Plaintiff statutory damages provided and pursuant to 15 U.S.C. § 1681n(a), and Cal. Civ. Code § 1785.31(a) from Defendant;
3. Awarding Plaintiff punitive damages provided and pursuant to 15 U.S.C. § 1681n(a)(2) and Cal. Civ. Code § 1785.31(a)(2)(B) from Defendant;
4. Awarding Plaintiff attorneys' fees provided and pursuant to 15 U.S.C. § 1681n(a)(3), 15 U.S.C.§ 1681o(a)(2), Cal. Civ. Code § 1785.31(a)(1), and Cal. Civ. Code § 1785.31(a)(2); and
5. Awarding Plaintiff such other and further relief as this Court may deem just and proper.

Dated: January 21, 2026

By: */s/ Stephen T. Jones*
Stephen T. Jones, Esq.
Lead Counsel for Plaintiff